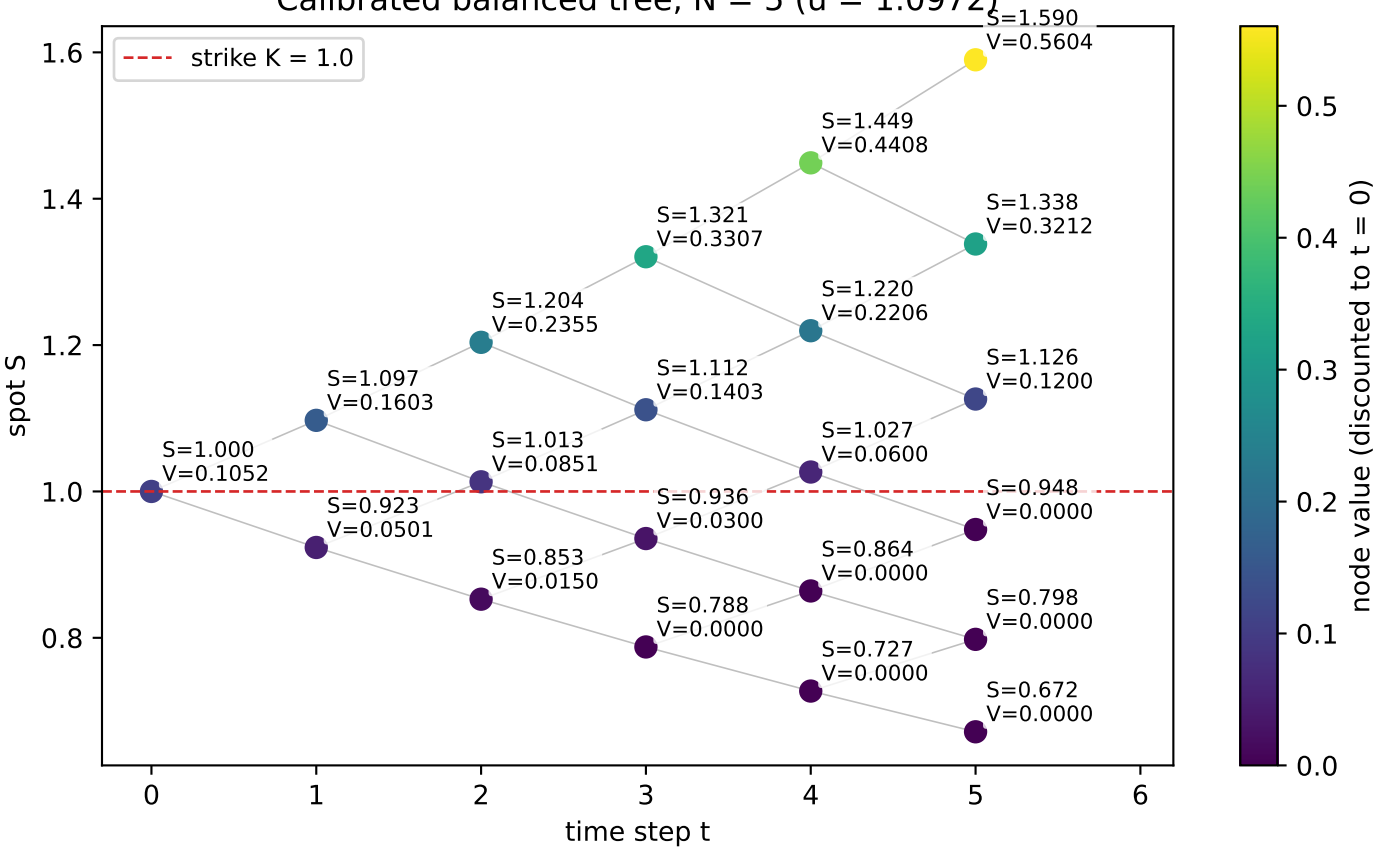
Calibrated balanced tree, N = 5 (u = 1.0972)
strike K = 1.0
S=1.590
V=0.5604
S=1.449
V=0.4408
S=1.338
V=0.3212
S=1.321
V=0.3307
S=1.220
V=0.2206
S=1.126
V=0.1200
S=1.204
V=0.2355
S=1.112
V=0.1403
S=1.027
V=0.0600
S=1.097
V=0.1603
S=1.013
V=0.0851
S=0.948
V=0.0000
S=1.000
V=0.1052
S=0.936
V=0.0300
S=0.864
V=0.0000
S=0.923
V=0.0501
S=0.853
V=0.0150
S=0.798
V=0.0000
S=0.788
V=0.0000
S=0.727
V=0.0000
S=0.672
V=0.0000
spot S
time step t
node value (discounted to t = 0)
1.6
1.4
1.2
1.0
0.8
0
1
2
3
4
5
6
0.5
0.4
0.3
0.2
0.1
0.0